

Class 2: Conceptual Framework of Financial Reporting

PRACTICE QUESTIONS: SOLUTIONS

These practice questions are designed to help improve your understanding of the course material. The questions referenced in this document can be found at the **end of each chapter in your textbook**.

Use the **Table of Contents** below to identify the list of questions and the **suggested time** for completing each one. When using this resource:

- ☐ **Do the exercises soon after the lecture** and ideally **before tutorials**. Studies on learning show that practicing material shortly after it's introduced improves understanding and retention. Spacing out your practice and reviewing regularly also strengthens long-term memory.
- ☐ **Attempt the exercises first** without looking at the solutions or debriefing notes. This will help you simulate real exam conditions and identify areas where you may need further practice.
- ☐ Be **conscious of the suggested time** for each question. Staying aware of time management is a valuable skill for exams.
- ☐ After completing the exercises, use the solutions provided to **debrief your work**. Compare your answers, understand any mistakes, and learn from them to solidify your understanding of the concepts.

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CHAPTER 2 | CONSTRUCTING FINANCIAL STATEMENTS

MINI EXERCISES (~ 40 min)

M2-14 (~10 min)

Use the accounting equation.

a. Cash		\$ 8,000
Accounts receivable		23,000
Supplies		9,000
Equipment		<u>138,000</u>
		178,000
Accounts payable	\$ 11,000	
Share Capital	<u>110,000</u>	<u>121,000</u>
Retained earnings		<u>\$ 57,000</u>

b. Retained Earnings:	
December 31, 2020	\$ 57,000
January 1, 2020	<u>30,000</u>
Increase	27,000
Add: Dividends	<u>12,000</u>
Net Income	<u>\$ 39,000</u>

- a. $\$200,000 - \$85,000 = \$115,000$ equity
- b. $\$32,000 + \$28,000 = \$60,000$ assets
- c. $\$93,000 - \$52,000 = \$41,000$ liabilities

M2-16 (~ 5 min)

- a. $\$375,000 - \$105,000 = \$270,000$ equity
- b. $\$43,000 + \$11,000 = \$54,000$ assets
- c. $\$878,000 - \$422,000 = \$456,000$ liabilities

M2-18 (~ 5 min)

- a. no effect
- b. decrease
- c. decrease
- d. no effect
- e. increase
- f. increase
- g. increase

M2-24 (~ 10 min)

Ending retained earnings = Beginning retained earnings + Net income – Dividends + the effects of other adjustments. And, the ending retained earnings for one period is the beginning retained earnings for the following period.

For the year ended January 29, 2020: \$2,037 + Net income 1,488 = \$1,354, so Net income = \$805

Ending retained earnings for the year ended January 29, 2020 equals \$1,354, the beginning retained earnings for the following year.

For the year ended January 28, 2021: \$1,354 + \$850 – Dividends – \$1,036 = \$24 so Dividends = \$1,144

Fiscal year ending	January 29, 2020	January 28, 2021
Beginning retained earnings (deficit)	\$ 2,037	\$ 1,354
Net income (loss)	805	850
Dividends paid	1,488	1,144
Increases (decreases) from other retained earnings changes	-	(1,036)
Ending retained earnings (deficit)	\$ 1,354	\$ 24

M2-27 (~ 5 min)

WYNYARD COMPANY
Statement of Retained Earnings
For Year Ended January 1, 2021

Retained earnings, Jan. 2, 2020	\$77,773
Add: Net income	9,672
Less: Dividends	(6,156)
Other retained earnings changes	<u>38</u>
Retained earnings, January 1, 2021	<u>\$81,251</u>

EXERCISES (~ 45 min)**E2-35 (~ 15 min)**

Use the accounting equation to determine Retained Earnings balances.

a.

LYNCH SERVICES Balance Sheets		
	December 31,	
	2020	2019
<u>Assets</u>		
Cash	\$ 23,000	\$ 20,000
Accounts receivable	42,000	33,000
Supplies	20,000	18,000
Land	40,000	40,000
Building	250,000	260,000
Equipment	43,000	45,000
Total assets	<u>\$418,000</u>	<u>\$416,000</u>
<u>Liabilities</u>		
Accounts payable	\$ 6,000	\$ 9,000
Mortgage payable	90,000	100,000
Total liabilities	<u>96,000</u>	<u>109,000</u>
<u>Equity</u>		
Share Capital	220,000	220,000
Retained earnings	102,000	87,000
Total equity	<u>322,000</u>	<u>307,000</u>
Total liabilities and equity	<u>\$418,000</u>	<u>\$416,000</u>

b.

Retained Earnings, December 31, 2020	\$102,000
Retained Earnings, December 31, 2019	<u>87,000</u>
Increase during 2020	15,000
Add: Dividend for 2020	<u>10,000</u>
Net Income for 2020	<u>\$ 25,000</u>

E2-38 (~ 15 min)

a.

Philips (€ millions)	Amount	Classification
Net sales	€ 19,482	I
Income tax expense	337	I
Retained earnings	8,296	B
Net earnings	1,173	I
Property, plant and equipment (net)	2,866	B
General and admin expense	631	I
Accounts receivable	4,554	B
Total liabilities	14,391	B
Equity	12,625	B

b. Total assets = Total liabilities + Total equity

$$\text{Total assets} = \quad \text{€14,391} + \quad \text{€12,625} = \text{€27,016}$$

Net Sales – Total Expenses = Net Income

$$\text{€19,482} - \text{Total Expenses} = \text{€1,173}; \text{ Thus, Total Expenses} = \text{€18,309}$$

$$\begin{aligned} \text{c. Return on equity} &= \text{Net income} / \text{Avg. total equity} \\ &= \text{€1,173} / \text{€12,625} = 0.093 \text{ or } 9.3\% \end{aligned}$$

ROE is an estimate because we have only this year's equity for the denominator.

$$\begin{aligned} \text{Debt-to-equity ratio} &= \text{Total liabilities} / \text{Total equity} \\ &= \text{€14,391} / \text{€12,625} = 1.14 \end{aligned}$$

E2-39 (~ 15 min)

a.

Murano S.p.A. (€ millions)	Amount	Classification
Sales.....	€ 67,390	I
Depreciation and amortisation expense.....	2,084	I
Retained earnings.....	12,698	B
Net earnings	2,920	I
Property, plant & equipment, net	25,493	B
Selling, general admin. expense & other (net)....	13,469	I
Accounts payable	6,625	B
Total liabilities and shareholders' investment	43,705	B
Total shareholders' investment.....	15,487	B

b. Total assets = Total liabilities and shareholders' investment

Total assets = €43,705

Total revenue – Total expenses = Net income

€67,390 – Total expenses = €2,920

Thus, Total expenses = €64,470

c. Return on equity = Net income / Total equity

= €2,920 / €15,487 = 18.9%

ROE is an estimate because we have only this year's equity for the denominator.

PROBLEMS (~ 10 min)

P2-49 (~ 10 min)

- a. Vodafone is heavily leveraged, 63% of the assets are financed with debt (total liabilities/total assets). Singtel is 55% equity financed (total equity/total assets).
- b. Singtel has higher net income to total equity ratio at 3.9% compared to -0.7% for Vodafone. There might be less competition in Singapore, therefore the firm generates higher net income as a % of equity.
- c. Singtel has a higher return on total equity while reporting lower leverage (debt), so it would be easier for Singtel to raise additional capital. However, other factors including trends in these numbers and cash flows are also to be considered.

CHAPTER 12 | ANALYZING AND INTERPRETING FINANCIAL STATEMENTS**MINI EXERCISES (~ 25 min)****M12-15 (~ 15 min)**

SENTOSA STORES		
Common-size Balance Sheets		
	2021	2020
Cash and cash equivalents.....	1.7%	3.9%
Accounts receivable, net.....	12.7%	14.1%
Inventory.....	17.0%	17.4%
Other current assets.....	3.9%	4.0%
Total current assets.....	35.3%	39.4%
Property and equipment, net.....	62.5%	58.3%
Other noncurrent assets.....	2.2%	2.3%
Total assets.....	100.0%	100.0%
Accounts payable.....	14.7%	15.2%
Accrued liabilities.....	7.8%	7.6%
Current portion of long-term debt and notes payable.....	8.1%	0.3%
Total current liabilities.....	30.6%	23.0%
Long-term debt.....	29.4%	35.7%
Deferred income taxes.....	2.6%	2.1%
Other noncurrent liabilities.....	3.5%	3.7%
Total shareholders' investment.....	33.9%	35.4%
Total liabilities and shareholders' investment.....	100.0%	100.0%

M12-16 (~ 10 min)

SENTOSA STORES
Common-size Income Statement

Year ended:	January 28, 2021
Sales.....	98.0%
Net credit card revenues.....	2.0%
Total revenues.....	100.0%
Cost of sales.....	68.5%
Selling, general and administrative expenses.....	20.2%
Credit card expenses.....	0.6%
Depreciation and amortisation.....	3.1%
Earnings before interest expense and income taxes.....	7.6%
Net interest expense.....	1.2%
Earnings before income taxes.....	6.4%
Income tax expense.....	2.2%
Net earnings.....	4.2%